Livelihoods and Economic Inclusion

Standard Operating Procedures (SOP)

2026-2028

Introduction

The purpose of this document is to provide Standard Operating Procedures (SOP) for the programmes that the Office of the United Nations High Commissioner for Refugees (UNHCR) and its implementing Partners are providing in the area of livelihood to forcibly displaced and stateless persons. These procedures aim to enhance the capacities and inclusion of forcibly displaced and stateless persons (FDSP) in the implementation process and to support partners implementing livelihoods towards building resilience and self-reliance through enterprising, skilling or business development activities. The SOP will ensure effective, consistent and accountable delivery and monitoring of the interventions and harmonize approaches among partners in providing services to FDSP.

These SOP apply for UNHCR and sector partners who are involved in the design, implementation, and monitoring of resilience and livelihood interventions. The SOP are intended to complement the UNHCR South Sudan operational strategy and to assist UNHCR staff and sector partners in the execution and management of interventions that support multi-year plans and the implementation of the Government 2023 Global Refugee Form (GRF) pledges on Jobs and Livelihoods, Environment and Climate.

Enabling Environment, Advocacy and Data for Inclusion

- *Legal and Institutional Mapping*
  UNHCR and partners will systematically analyse laws, regulations and institutional arrangements governing labour markets, financial services, business registration, land, and social protection to identify legal and practical barriers and opportunities for FDSP.

- *Law and Policy Engagement*
  Based on the mapping, UNHCR will advocate with government and regulators for evidence-informed reforms to ensure FDSP have legal and practical access to decent work, productive land, financial services, and national social protection schemes on par with nationals.

- *Data and Evidence*
  Beyond project baselines, Sub office and field operations will generate and use socio-economic data (including market segmentation and skills profiling) to build an investment case for inclusion of refugees in national economic and social protection systems.

- *Private Sector Engagement*
  Private sector actors (employers, FSPs, value-chain companies) will be engaged not only as implementers but as strategic partners in advocacy, co-design and scale-up of inclusive business models.

Phase 1: Targeting and Identification and Assessment

Beneficiary baseline assessments using the livelihood information system survey tools[1], designed to support the identification of individual and market priorities and appropriate livelihood strategies fit for the context, should be used by UNHCR and partners implementing livelihood activities.

Targeting

Where the criteria are not predefined as in earmarked projects, the selection of potential participants for livelihood support will take into account the socioeconomic situation and the protection needs of the applicants. This will ensure that the livelihood interventions will not only enhance the skills and abilities of the participants but also serve as a protection tool to address the vulnerabilities while targeting those who demonstrate potential to achieve self-reliance.

Targeting methods

a) **Capacity-based/Self-Targeting:** This method allows the applicants to self-select themselves based on their own assessment of their needs and the criteria set by the programme. The applicants provide information about their eligibility for the assistance using the expression of interest form (Expression of Interest Form_.docx). This method is useful when there is a clear and transparent definition of the criteria, suitable for decent work opportunities and when the applicants have access to reliable information.

b) **Community-based targeting:** This method involves the participation of the community leaders and members in identifying the eligible beneficiaries. This method is suitable when there is a strong and representative community structure and when the programme aims to address specific issues such as meeting the gender and disability target.

c) **Categorical Targeting:** This method uses predefined categories of beneficiaries that are relevant for the programme objectives. The categories can be based on demographic, socio-economic, or vulnerability factors. The categorical targeting can be verified through key informant interviews and focus group discussions. This method is effective when categories are already defined in earmarked projects and are easy to identify and verify with the community representatives or through existing databases such as ProGres V4.

An additional targeting pathway will include referrals from the Protection Unit to reinforce gender and disability inclusion within livelihoods programming. Protection colleagues, refer individuals and households with specific protection risks, including women, persons with disabilities, older persons, and other at-risk

[1] Livelihood Beneficiary and endline survey (https://lis.unhcr.org/home)

groups, who may not be reached through standard targeting channels. These referrals will be reviewed against the agreed selection criteria and, where appropriate, prioritized for livelihoods support.

BETTER-OFF Possess productive and other high-value assets, working in skilled jobs, and can be targeted for Microfinance Assistance (Commercial loans, Business development services, Information provision.

LESS VULNERABLE - *Possess productive assets, working in semi-skilled jobs or with more security, able to meet basic needs – Can be targeted for Microfinance assistance, financial literacy, business Development and Job placement assistance.*

SOCIO-ECONOMICALLY VULNERABLE *Limited assets, skills and experience, working in low-skilled jobs or as casual labor, living in poverty. Can be targeted for* TVET Skilling, entrepreneurship training, Business start-ups, grants, Coaching/mentoring, Microfinance Savings and Agriculture support)

EXTREMELY SOCIO-ECONOMICALLY VULNERABLE
No assets, skills or experience, social vulnerabilities, majority unemployed, living in, extreme poverty and using negative coping strategies (can be targeted consumption support, safety nets including CBI, basic skilling, and agriculture support to help them stabilize on the path to start livelihood)

This four-tier vulnerability and capacity categorization above is aligned with UNHCR's market segmentation approach for economic and financial inclusion (most vulnerable, at risk of sliding into poverty, building resilience, economically active). The 'extremely socio-economically vulnerable' correspond to most vulnerable and will primarily be linked to social/humanitarian protection and safety nets, while the 'better-off' group corresponds to economically active and will be prioritized for formal financial inclusion and SME-oriented services.

Expression of interest (EOI)

Livelihood opportunities for entrepreneurship, business development, Skilling and microfinance support will be advertised and delivered through a capacity-based targeting method. Applicants would be required to express interest by completing the expression of interest forms (see example Expression of Interest Form.docx)

Selection Criteria

If not predefined, UNHCR, Livelihoods committee/refugee-led Organisations will collaborate with Sector Partners to define the selection criteria for different livelihood interventions. They will use working sessions to determine/validate the selection criteria for each livelihood intervention strategy. The committee and the

Partners will also inform the community about the upcoming interventions and the targeting criteria using suitable methods for their context, such as posters, community meetings, or public announcements.

Validation and approval of shortlisted applicants

The Sector partner will establish the list of initially shortlisted applicants. UNHCR's support will include status verification, and specific needs assessment. The shortlist and the reasons for the acceptance or rejection of applicants will be presented to a Validation Committee in a plenary session. The Validation Committee will have representatives from the community leaders Livelihoods Committee, UNHCR, the partner or agencies involved in the sector and refugee representatives. The final lists to be validated in proGres against the gender and disability target and ensure compliance as per the project design. ***UNHCR retains the decision-making authority over the selection of the Final Beneficiaries or Eligible Interventions***.

Litigation/Grievance Committee

The litigation committee, which consists of at least two (2) members appointed by the Validation Committee, UNHCR and the sector partner, will handle any appeals from persons/groups who were not selected for support. The appeals must be submitted within 7 days after the announcement of the selection results. The committee will listen to the complainants' arguments and provide documentary evidence to justify its decision. If the committee finds that some clients were wrongly excluded, they shall be considered positively and be added to the final list of project participants.

Signature of commitment

Participants will agree to be monitored by annually. For activities such as capitalisation grants and placement of livestock, commitment letters would include a pass-on-the-gift clause. Whereby, participants agree to hand over same value of project benefits in kind or cash to the eligible beneficiary on the waiting list. Penalties like exclusion in future assistance, should mismanagement of support, and any form of fraud be established and should be included in the commitment signed from the prospective beneficiaries.

Baseline assessment using the Livelihoods Monitoring Tool

Following the approval of the list of selected persons/groups by UNHCR the baseline assessment survey available at **livelihoods monitoring** (see example baseline assessment) should be completed in the first Quarter (Q1) to establish the starting point of participants and to allow better monitoring of activities and to measure progress over time.

Phase 2 – Livelihoods and economic inclusion interventions

Interventions shall be designed towards attainment of the five 2026-2030 Livelihood Strategic objectives and through the below Livelihood strategies. All interventions financed with OA13 will be designed with clear theories of change, scalability potential and realistic phase-out strategies, in line with UNHCR’s guidance to avoid fragmented short-term projects with limited impact.

1. Vocational Training and Skills Development:

Deliver market-driven vocational training in high-demand trades (e.g., digital skills (Coursera online), construction, crafts, agri-business, auto mechanics), Partnership with private organizations and national technical institutes for recognized certification and job placement pathways. Wherever possible, UNHCR and partners will leverage existing national TVET institutions, accredited training providers and online platforms such as the Coursera-UNHCR partnership instead of creating parallel, short-term training schemes.

2. Employment Creation Initiatives:

Facilitate job matching, internship, Cash for work, and on-the-job training opportunities through local business partnerships for refugees with professional experience. Support skill profiling, and business registration.

3. Enterprise and Market Systems Development:

Provision of micro-grants, productive assets, and mentorship to launch small businesses and agribusiness. Promote mechanized and climate-smart agricultural practices, agroforestry (fruit and medicinal tree seedlings; energy-efficient stoves), resilient livestock value chains, and post-harvest storage, climate adaptation structures and early warning systems supported.

4. Financial Inclusion and Local Financing:

Promote digital payments (Mobile Money), facilitate access to capital and payments through partnerships with microfinance institutions.
Community-based savings and loans (VSLAs) will be the preferred first-line mechanism for informal financial access and as a bridge to formal financial services. Revolving loan funds will only be used in exceptional contexts where private sector financial service providers cannot operate, and where partners demonstrate robust capacity to manage, supervise and monitor the fund

Social Protection and Safety Nets

UNHCR and partners will systematically assess national social protection systems and identify opportunities to align livelihood-related CBI and safety nets with existing government programmes. Where feasible, refugee households will be progressively linked to national social assistance, social insurance and labour-market programmes, with UNHCR support focused on advocacy, data, and time-bound gap-filling.. Actors shall work to harmonize protocols for targeting beneficiaries and be guided by the data-sharing agreement when targeting refugees with social assistance, through direct income support, labour-based works and livelihood support.

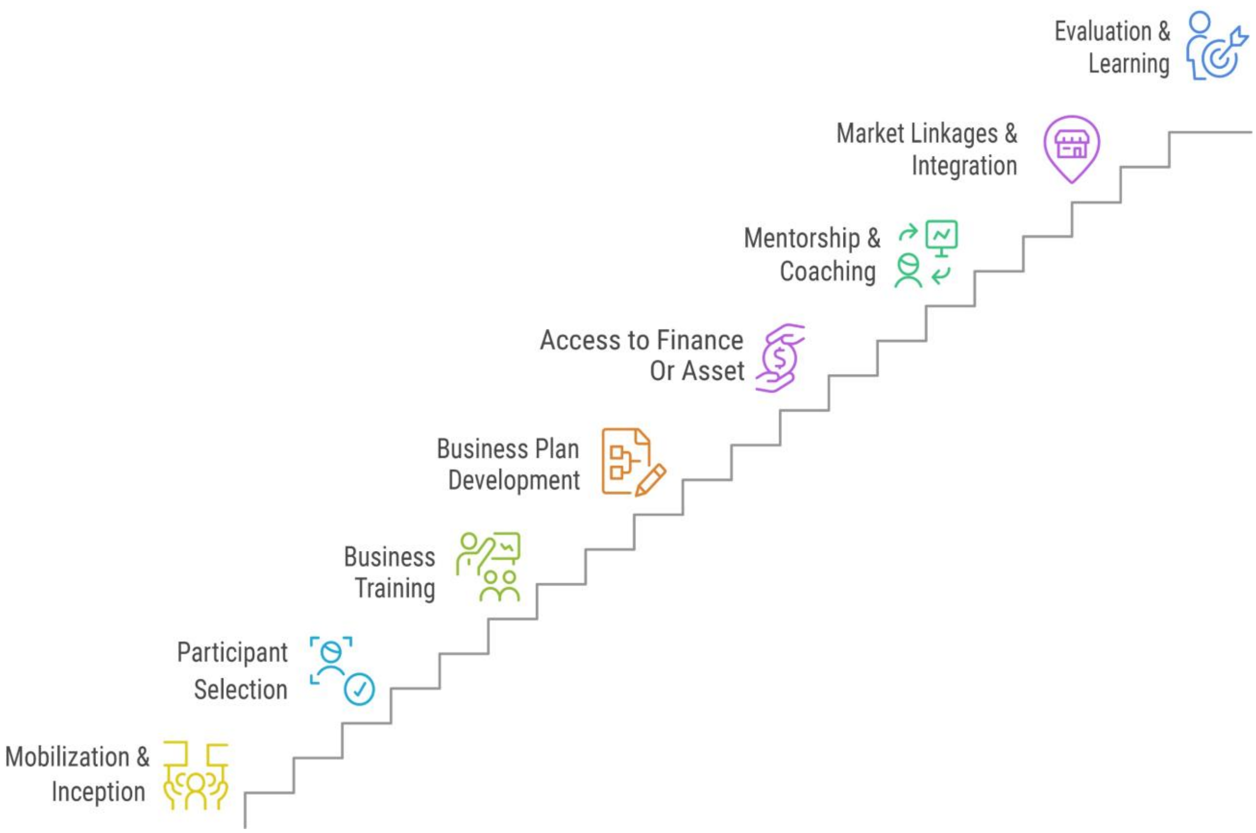
Economic inclusion

a) Entrepreneurship training and Business Development

Selected participant for entrepreneurship training should receive training in entrepreneurship. This could include more detailed training in entrepreneurial skills, following well-established entrepreneurship training models such as the ILO-conceived **Start and Improve Your Business (SIYB**) programme or government approved entrepreneurship curriculum. As far as possible, training beyond basic training should be provided by government accredited certified institutions which ensure a certain technical quality, and which grant recognized qualifications.

The individual participating in the entrepreneurship programme should be engaged to develop a business plan (see Sample Business Plan for Groups and IGAs.docx) with support from the sector partner. The purpose of the business plan is to express the value proposition of the project and forecast its expenses against its turnover to determine its profitability. The partner should help the participant improve the conceptualization of the project to make it profitable. All business plans would be documented, shared with UNHCR before grant processing which will be disbursed through UNHCR Financial Service provider and **Cash Assist tools**. (Please see detailed activity process Grant_Business_Enterprise Development Programme.docx)

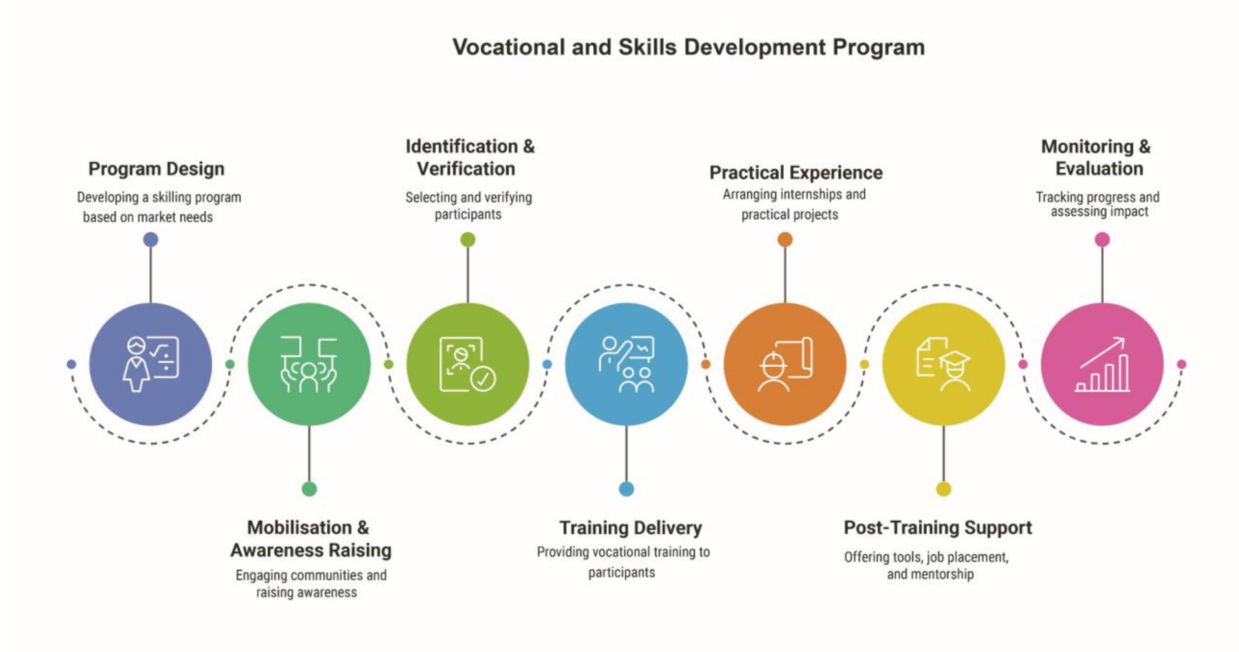
Path to Economic Empowerment



b) Vocational and skills training

A skilling program should be designed based on the needs and opportunities of the target population. The aim is to quip individuals with the practical knowledge and expertise needed to enter specific trades or professions based on the market demands. To participate in the programme, participants should express interest and be subjected to a selection process where prospective participants will be assessed on their motivation and suitability for the program. Referrals from the protection program will be directly included to ensure gender and disability inclusion considerations.

The skilling program should use a mix of delivery methods, such as classroom instruction, hands-on training, and online learning, to cater to the different learning styles and preferences of the participants. The participants should also receive support for job matching within refugee response programmes, such as mentorship, startup grants, internships job placement assistance, and access to additional training services. (Please see detailed activity process Vocational and Skills Development Process.docx) New stand-alone training centres will only be considered where no suitable national or private providers exist and with a clear sustainability and handover plan.



c) Agriculture, livestock and fisheries enterprise development

To enhance food security, productivity and sustainable resource management, sector partners shall collaborate with local farmers, herders, and community leaders to identify and support suitable agricultural and livestock practices, technologies, and value chains that match the local socio-economic context.

Sector partners should also provide training on climate smart farming techniques as part of the integrated agriculture and livestock programme. These may include climate-smart crop varieties and animal breeds that are adapted to the local environment and water management practices such as water harvesting to optimize irrigation. The Block farm model can be used to showcase new technologies and best practices. Seed multiplication farms should be adopted as a strategic approach to improving the seed system with improved post-harvest handling and storage technologies.

Furthermore, sector partners should work to develop market linkages and value chains. This may include the establishment of producer cooperatives to enhance production capacity and the introduction of value-addition techniques to increase the market value of products. The provision of productive inputs such as access to tools, seeds, tillage services, machinery and credit should be promoted for increased productivity. FAO has a comparative advantage on the agriculture sector and should be consulted for technical support and guidance on agriculture matters.

d) Decent Work (Wage Employment Creation)

To enhance the realization of refugee rights related to decent work and expand opportunities for employment, income generation, and sustainable livelihoods, UNHCR and its partners will promote access to decent work through wage employment creation. Skilled refugees will be supported to actively participate in and contribute to local market and resilience-building efforts within refugee-hosting areas.

Support interventions will include providing individual refugees and refugee associations with updated information on labor rights, wage employment, and self-employment opportunities. Refugees and asylumseekers holding diplomas or professional certifications from their countries of origin will receive guidance on procedures for the recognition of their qualifications and access to relevant job opportunities. Furthermore, employment initiatives will be expanded to create jobs for youth, refugees, and host communities for at least 6 or 12 months while increasing information sharing and technical assistance to financial service providers to improve refugees' access to financial services.

e) Environment and climate Resilience

Sector partners will promote green and climate action activities while employing a community participatory approach working collaboratively through supporting community action plan to develop green and climate smart enterprises that address climate threats and enhance access to income generation. Interventions may include, establishing community tree nurseries, promoting agroforestry practices, and encouraging the use of renewable fuels and improved cook stoves to address environmental challenges and promote sustainability.

Financial Inclusion

Microfinance

Microfinance is a useful tool and allows individuals participate in the financial system, build assets and should be promoted for micro-entrepreneurs. These services may include savings schemes, such as village savings and loans associations (VSLAs) and credit products, such as grant funds and loans, that fosters entrepreneurship. Microfinance interventions will be designed to avoid over-indebtedness and market distortion, with careful screening of existing debts, transparent pricing and alignment with national financial consumer-protection standards

Funding and transfers for productive assets or employment

a) Modality

Cash is the preferred funding modality for the provision of capitalisation/startup grants and productive assets all delivered through Cash Assist. The participants should be closely monitored as appropriate to ensure that the funds are used properly. Payments should be done in instalments on condition that milestones agreed upon to be achieved with the funds previously received have been met. In cases beneficiaries that can't be supported through Cash Assist or where the partner find that a cash transfer would not be effective or could even have a counterproductive effect, in-kind asset transfer will be the appropriate delivery modality instead of cash.

b) Timing

Funding and transfers of productive assets should only take place after the completion of the preparatory stages which may include, targeting, entrepreneurship training or the SIYB training and business plan development among others. OA13 will not be used to build or maintain parallel skills-training infrastructure unless there is a documented absence of viable national options.

The funding should be disbursed in tranches/ instalments to ensure proper management and project monitoring. The funding should also match the optimal time for the participants to succeed at their enterprises. For example, for agro-business and value chain development, the funding should be aligned with the planting or harvesting season to avoid delays. For employment this should either be for 6 or 12 months.

c) Funding amount

The partner and UNHCR should collaborate to allocate the funding for each activity in a way that maximizes the positive impact and minimizes the risk of underfunding or overfunding. Granting for micro enterprises can range from 100 USD to a max 12,000 USD for group/SME support in line with business plan including RLOs promoting interventions in self-reliance and livelihood interventions. The lower end (e.g. 100–300 USD) are only provided as part of an integrated graduation package, not as one-off stand-alone IGA support.

For apprentice and wage employment the monthly incentive can range from 50 USD to a max of 300 depending on the level of speciality and the job technical requirements. The daily casual labour wage rates can be adopted to the corresponding categories (Unskilled, Semi-skilled and Skilled) in the monthly South Sudan CCCM cluster daily labor wage rate.

OA13 funding will prioritize multi-year, market-linked and scalable interventions (e.g. graduation programmes, value-chain integration, social protection linkages). Stand-alone, short-term, small-scale livelihood projects not embedded in a broader pathway to self-reliance will not be financed.

d) Post-creation/intervention support

a. Formalisation/business registration

In collaboration with the UNHCR the livelihoods partner shall facilitate participant to formalise through legal registration. This could include obtaining business registration, tax certificate and operational licenses or support for any other aspect related to compliance with the relevant labour and tax laws

b. Business development assistance services

The sector partner shall ensure that the participant has access to the range of business development assistance services necessary to maintain and improve the functioning of their activity. These services could be provided directly by the partner, or by referring the participant to a relevant private sector service provider.

Business development assistance services include, among others, the following services:

- Market access (market linkages, fairs, market information, networking with buyers, contract farming programmes.)
- Access to inputs (linking with input suppliers, improving the capacity of input suppliers, creation of bulk buying groups.)
- Access to infrastructure (storage, warehouses, cold chain, transport services, processing plants.)
- Technology (ICT, technology for processing and storing products.)
- Continuing education (technical, entrepreneurial skills, management, accounting.)
- Financial services (access to bank accounts, credit, microfinance, fund transfer services, creation of tontines.)

The business development assistance services required for a specific activity are to be determined during the development of the business plan and after the launch of the activity between the partner and the participant.

c. Mentorship and Coaching

In addition to monitoring, the partner will mentor the participant during the project life including:

- Reinforcing the principles taught during training and initial supervision.
- Linkages to financial service providers

- provide information on rights and legal obligations pertaining to land use, wage labour, self-employment, business registration, and training

d. Actions to take in the event of shocks

When the project context is characterized by climate shocks (flooding, bush fires) which impacts the ability to absorb, accommodate, adapt to, transform and recover from the effects of a hazard in a timely and efficient manner, support should be provided including through the identification of impacted households and stabilizing livelihoods and income opportunities through immediate social protection and employment measures available. Photos and a report will be made indicating the extent of damage.

Accountability

A validation committee made up of community leaders will play a critical role in safeguarding the integrity and effectiveness of livelihood assistance including productive assets provided for livelihoods support. Building on their position and local knowledge, the leaders can serve as trusted persons to prevent fraud and ensure that the projects benefit the community. The committee oversees applicant selection, verifies residence in the camp and witnesses the disbursement and use of funds, promoting transparency and compliance with project guidelines. The committee shall also take action on reported cases malpractice and overall accountability, to ensure that project resources reach the intended recipients and contribute meaningfully to sustainable livelihoods.

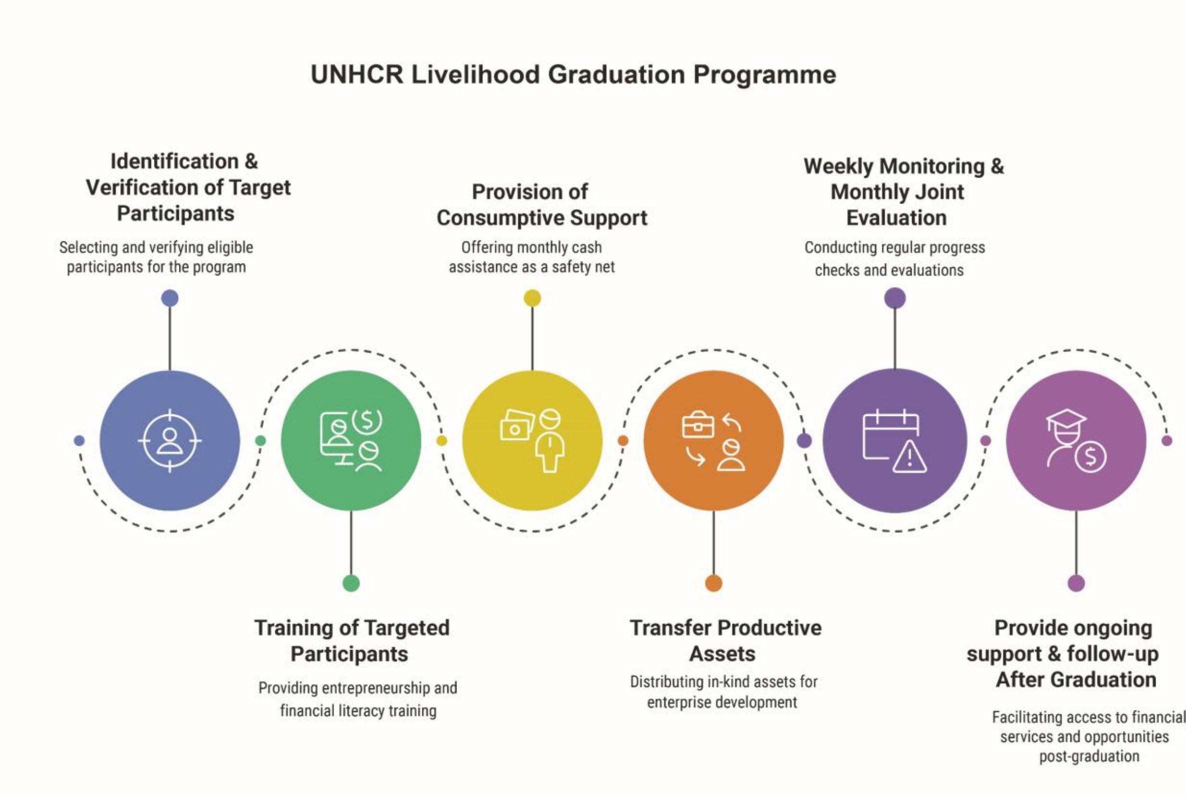
Graduation Approach of Implementation

The graduation approach for livelihoods should involve implementing multiyear programmes with a structured and phased process as below to support identified individuals or households in achieving sustainable livelihoods and economic self-sufficiency. A clear graduation criterion is necessary to indicate when participants have achieved economic milestones and no longer require program support. Therefore, graduation benchmarks will be defined in terms of movement from Segment 1–2 (most vulnerable and at risk of sliding into poverty) towards Segment 3–4 (market-integrated and economically active), with clear criteria on income, assets, savings and risk-management capacity.

1. First it is necessary to identify and select participants based on the appropriate criteria and assess the participants aspirations in terms of assets skills and needs.
2. A baseline assessment should be conducted to establish the starting point of participants' and to measure progress over time. The assessment can include **income levels, asset ownership, household expenses,** and other relevant indicators.
3. The targeted individuals should receive tailored training to enhance their skills and knowledge in areas relevant to their chosen livelihood strategy.
4. The participants should receive productive assets or inputs necessary to start or improve ongoing activities. (Such as agricultural inputs, livestock, tools and equipment, cash or materials for small businesses.
5. Individuals/groups of participants should be assigned to mentors or coaches (project staff/model farmers/entrepreneurs) to work closely with for guidance, and technical assistance as they implement their livelihood plans. See Mentor Follow-Up Checklist.xlsx tool for supporting mentorship follow-up visits.
6. Participants should be facilitated to access to appropriate financial services such as savings schemes, accounts, credit/grants and financial literacy to help them develop financial management skills and

access financial products that support their activities. Encourage participants to diversify their livelihood activities to reduce risks and enhance resilience through value addition, and market linkages

7. Targeted individuals enrolled in multiyear programmes shall be monitored for two to three years on a biannual basis to track progress, measure the impact of the graduation approach, and identify areas for improvement. This will determine if they have achieved the set milestones to be considered for graduation from the livelihood programme.
8. A transition/exit strategy that may include encourage participants to reinvest profits into their businesses or linking participants with local support networks, government services, or other community resources to ensure that participants can continue their livelihood activities independently after completing the program. (Please see detailed activity process UNHCR Livelihood Graduation Programme steps.docx)



Coordination, Communication and Monitoring

a) Coordination

Bearing in mind the fact that livelihoods intervention is target and part of a larger package of protection assistance provided to refugees, it is the partner's responsibility to coordinate effectively for a smooth delivery. The Livelihood and economic inclusion working group will be the principal coordination mechanism for the livelihood interventions country wide.

The partner will ensure that any intervention is well coordinated with the relevant line ministries (Labour, Finance, Social Development, Agriculture), regulators, and apex private sector bodies/chambers at local, and national level. The partner's participation in the sessions of the livelihoods technical working group when they exist in the field will limit duplication risks and ensure the sector activities well-coordinated.

The Livelihood and Economic Inclusion Working Group will coordinate closely with social protection and CBI fora to ensure harmonized targeting, transfer values and exit pathways between humanitarian programmes and national SP systems.

b) Communication

The partner will maintain communication and transparency with all stakeholders, including participants, other partners, authorities, and UNHCR. To the extent possible, the partner should inform and engage these other relevant stakeholders in the execution of the project.

As part of the outreach and advocacy strategy of the entire project, the partner will participate in the collection of success stories, documentation of good practices, and lessons learned. The partner shall use UNHCR/donor visibility in all materials and project support related to UNHCR support to the beneficiary.

c. Monitoring

The partner and UNHCR should also conduct monitoring at 3 months, 6 months and 12 months to assess the effectiveness and accountability of any cash or material intervention provided to determine if they can progress on the pathway to self-reliance. Monitoring will also help to ensure that the support provided is used appropriately by both the partner and the participant. Where feasible joint monitoring would be undertaken each month by the livelihoods technical working group to the project sites.

The Core indicator

Core Output 13.1.1 Number of people who benefitted from livelihoods and economic inclusion interventions (It includes individualised livelihood and economic inclusion support for agricultural production/livestock/fishery and inclusion in agrifood systems, graduation approach, self-employment and wage-employment, digital employment, as well as financial inclusion. Interventions include provision of productive/financial assets (seed capital, inputs, fuel); accompaniment, formalisation and linkages to marketing options; agrifood processing and value addition; entrepreneurship training; technical and vocational education and training (TVET); support to skills certifications and/or diploma recognition; cash for livelihoods; as well as support to open bank accounts, access mobile money services or loans.)

Transition/Exit Strategy and Sustainability

A transition/exit strategy shall include encouraging participants to reinvest profits into their businesses or linking participants with local support networks, government services, or other community resources to ensure that participants can continue their livelihood activities independently after completing the program. Exit strategies will prioritize the transition from UNHCR-financed safety nets and livelihood top-ups to inclusion in national social protection systems, in line with UNHCR's Social Protection engagement framework.

Exit strategies should be designed from the outset and regularly updated to ensure no harm during the phase-out of UNHCR-funded programmes, including by referring participants to alternative services and avoiding abrupt withdrawal of support. Where livelihood infrastructure and productive assets have been established (e.g. block farms, storage facilities, processing plants, market infrastructure), a clear handover plan to local authorities, community structures and refugee-led entities will be developed and documented.

The SOP will promote the formal registration and strengthening of refugee-led organizations and businesses to facilitate their direct participation in markets and in service delivery.

Revisions to the SOP

These Standard Operating Procedures (SOPs) will be reviewed two years after the date of signature.

Digitally signed by Mesfin Degefu, Deputy Representative
Date: 2026.06.15 15:15:37 +02'00'

Signature

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